

REACHING FOR PRICE, FOREGOING OPPORTUNITY

During the 1930's I learned, or at least partially learned, something else which I consider truly important. I have already mentioned my complete failure to benefit from my correct forecasts of the Great Bear Market which started in 1929. All the correct reasoning in the world is of no benefit in stock investment unless it is turned into specific action. My first experience in operating my own business occurred during the depth of the Great Depression, when very small amounts of money became of abnormal significance. Possibly because of this, or possibly because of my personal characteristics, as I started my business I found myself constantly battling for "eighths and quarters." Brokers who knew much more than I did kept telling me if I believed that a stock would rise in a few years to several times its current price, it really made very little difference whether I acquired its shares at \$10 or \$10 $\frac{1}{4}$. Yet I continually placed limit orders with no better reason for a limit than a purely arbitrary decision on my part that I would pay, say, \$10 $\frac{1}{8}$ and no more. Logically, this is ridiculous. I have observed it to be a bad investment habit that is deeply ingrained in many people besides myself, but not ingrained at all in others.

The potential dangers of arbitrary limits were made clear to me as the result of a mistake of someone else. I remember as though it were yesterday running into one of my more important clients by chance on the sidewalk in front of a San Francisco bank. I told him that I had just come back from visiting the Food Machinery Corporation, the outlook was never so exciting, and that I thought he should buy some additional shares. He completely agreed with me and asked where the stock had closed that particular afternoon. I told him \$34 $\frac{1}{2}$. He gave me a significant order and said he would pay \$33 $\frac{3}{4}$ but no more. Over the next day or two the stock fluctuated in a range just fractionally above his bid. It never got down to it. I phoned him twice, urging him to go up a quarter of a point so that I could buy stock. Unfortunately he replied, "No, that is my price." Within a few weeks the stock had risen over 50 percent and, after allowing for stock split-ups, never again in the company's history was it to come down to anywhere near where he could have bought it.